

*The Emergence
of Latin America
in the Nineteenth Century*

DAVID BUSHNELL
University of Florida

NEILL MACAULAY
University of Florida

New York Oxford
OXFORD UNIVERSITY PRESS
1988

The Economic and Social Dimensions

Some twenty million people lived in Latin America at the end of the wars for independence. They grew crops for food and fiber; tended cattle, sheep, llamas, pigs, poultry, and bees; hunted and fished; gathered wild nuts, spices, and tea leaves; collected bugs for making dye; dug silver, gold, and copper out of the earth; wove cloth; tanned leather; forged ironware; built canoes, boats, and ships; and engaged in countless other economic activities. Most of what they produced they consumed themselves; relatively little was shipped beyond the communities that produced it, and much less was exported to other countries. The silver of Peru and Mexico, the coffee and sugar of Brazil and Cuba, and the dyes of Central America were famous on world markets, but, except for Cuba—which remained a Spanish possession—only a small fraction of the population of these countries was directly engaged in export production. Independence brought some notable changes, and life became more uncertain for some Latin Americans, but for most the conditions of everyday existence remained much as they had been under colonial rule. Three more decades would pass before fundamental economic and social change got underway. Internal factors, not external ones, were largely responsible for this stability—or stagnation.

Latin America in the World Economy: Foreign Trade and "Dependency"

Before 1808, when the Latin American independence movement began, the external commerce of the Iberian colonies was legally channeled—with only a few exceptions, the most important of them involving the slave trade—through Spain or Portugal. By 1825 this system had been totally eradicated everywhere except in Cuba and Puerto Rico, where it had been substantially modified. Although the original sources of Latin America's imports and the ultimate destination of the region's exports were scarcely changed by the elimination of the Iberian transfer requirement, and while pervasive smuggling during the colonial period attested to the ineffectiveness of much mercantilist legislation, the legalization of direct trade with the nations of the world had real significance for the newly independent states of Latin America.

One of the most noticeable consequences of the shift to freer trade was the sudden appearance of non-Iberian foreigners in the ports and major cities of the region. Before 1808, for example, non-Portuguese merchant ships were barred from Rio de Janeiro, and practically no foreigners lived there; by 1820 more than three hundred foreign vessels a year were calling at Rio, and more than three thousand aliens were residing in the city, which had a total population of about a hundred thousand. In Buenos Aires the number of foreign-born surpassed thirty-seven hundred by 1822, accounting for nearly seven percent of the city's total population. As Spain's other colonies secured their independence and opened their doors to international trade—simultaneously throwing out resident Spanish merchants, or at least making them feel unwelcome, and suppressing their monopolistic export-import guilds, the *consulados*—foreign commercial communities materialized in these countries as well. Most of the new residents were from Great Britain, the country with the most goods to sell in Latin America.

The British trade offensive in Latin America was launched in response to the effective establishment of Napoleon's Continental System in Europe. When Portugal was forced into the French system in 1807, Britain was deprived of the last of its European trading partners. The Portuguese regent, Prince John, was aware

that Britain was intent "on repairing in the New World the losses which her commerce had sustained in the Old" when he enlisted British help in transferring his court to Brazil. What the British had in mind was the opening of Brazilian markets not to all the nations of the world but only to Britain; they would make Brazil a British dependency, establishing between Britain and Brazil "the Relation of Sovereign and Subject," as the British minister in Lisbon boasted in a report to London.¹ But once the wily Prince John was in Brazil, he took advantage of the temporary absence of the British minister to declare the ports of Brazil open to the commerce of all friendly nations.

It was not until the 1840s that the government in London adopted the free-trade prescriptions of the Scottish economist Adam Smith. In the meantime, Portuguese translations of Smith's *The Wealth of Nations* were published in Brazil (Rio, 1811; Bahia, 1813), and earlier European editions in Spanish circulated elsewhere in Latin America, where they were cited chapter and verse by exporters trying to break into the protected British market. But literal free trade was not adopted by Latin Americans either; as Brazil's Spanish American neighbors took charge of their own affairs, they followed exactly the same course as had the Portuguese regent on arrival in Rio. Direct trade with all friendly nations was the Latin American position, subject normally to a moderate tariff levied for revenue purposes, although higher, protectionist duties were sometimes adopted on behalf of politically powerful local producers.

The independence won in 1808-1825 was genuine: it ended colonialism in most of the Americas. If a neocolonialism took its place, it was a pale reflection of the real thing. Great Britain, as Brazil's wartime protector, could persuade the Brazilians to lower tariffs on British goods (in 1810 and 1827) but could not prevent them from extending the same low rates to all other nations. Neither Britain nor any other foreign power monopolized the trade of any Latin American country the way Spain and Portugal did before 1808. Under real colonialism, armed imperialist intruders levied taxes on the natives, forcing them to produce or deliver exportable goods in order to meet their tax bills. Britain and other European powers practiced this kind of impe-

rialism in Africa and Asia in the nineteenth century, but not in Latin America. However unfree their domestic economies, Latin American nations traded free of coercion in world markets. If their trading partners often seemed to profit more than did the Latin Americans, this was essentially because of the low level of productivity in their domestic economies.

The wealth of nations, Adam Smith proclaimed, is not the gold or silver they possess but the productivity of their agriculture and industry. Spain owned the silver of Peru and Mexico, and Portugal owned the gold of Brazil, but, as Smith pointed out in 1776, neither was wealthy; they were the most "beggary" countries in Europe, after Poland. The precious metals of Latin America, contrary to the mercantilist theory that lay at the heart of the Spanish and Portuguese imperial systems, were not the essence of wealth but simply commodities in international trade, whose value in relation to other commodities would fluctuate with the relative abundance or scarcity of each. Bullion was useful as money, in national coinage and for the settlement of international trade balances. As such, it would tend to flow from areas where productivity—goods or services output value for each worker-hour input—was low to areas where it was high. England before the Industrial Revolution had the world's most productive agriculture; consequently, much of the Latin American gold and silver that flowed through Spain and Portugal during the colonial period wound up in England, where it was invested in further productive improvements, including industrial development.

By 1808 Britain, France, much of northern Europe, and English-speaking North America all had far outstripped Spain and Portugal and their colonies in productivity. They were the "rich" nations, and it is unlikely that at any time they would have conspired to hold down productivity in the independent nations of Latin America. Indeed, they stood to gain from a rise in Latin American productivity, insofar as this would tend to increase the supply of any commodities they bought from the region and would lower their prices. The fact is, however, that the rich countries bought little from Latin America in the postindependence period. Latin America produced almost nothing that the Europeans and North Americans did not produce in abundance

among themselves and their colonies, and the rich countries found it easier and more profitable to do business with one another. Then as now, a far greater volume of goods moved between rich countries than between poor and rich.

The exceptions were few. Most of Europe's sugar came from the Caribbean colonies of Britain, France, and Spain. Spanish Cuba was the most efficient producer and dominated the relatively free sugar markets of continental Europe. Brazilian sugar producers were among those squeezed out of continental European markets by the Cubans. The Brazilians saw their salvation in the opening of the protected British market to their product; as early as 1822 they were willing to immediately renounce the slave trade in return for the free entry of their sugar into Britain. Committed as the British government was to the suppression of the international slave traffic, protection of the unproductive British West Indian sugar industry had a higher priority; the British sugar market remained closed until nearly midcentury. In the meantime, Brazil established itself as the world's foremost exporter of coffee, a hitherto nonessential commodity which it supplied in great quantities to the United States and continental Europe—but not to tea-drinking Britain.

Aside from Cuba and Brazil, the only other Latin American countries whose exports claimed a significant proportion of national production before midcentury were the Río de la Plata and Chile. The Argentine pampas were the source of about a third of Britain's imports of animal hides during 1825–50, while Chile's location on the Pacific Ocean gave it an advantage as a supplier of copper to British India and grain to the fledgling British colony in Australia and, later, to U.S. settlements in California. Chile also exported grain and wine to its Latin American neighbors, while Argentine producers shipped salted beef to Brazil and Cuba to feed their slaves. But this intraregional commerce was a mere drop in the world-trade bucket. And Latin American shipments of tallow, wool, cotton, and lumber to Europe before 1850 were dwarfed by European imports of these same commodities from North America or other European countries. Nevertheless, at the time of their separation from Spain and Portugal, the Latin American nations were perceived as wealthy—they had silver and gold. Mercantilist illusions died hard.

The Limits of the New Imperialism

The North American and European conflicts of 1804–1815 and the Latin American wars for independence that extended into the next decade—with their embargoes, blockades, and privateering—temporarily reduced the volume of imports to Latin America, creating pent-up demand to be satisfied when the hostilities ceased. Foreign trade boomed with the march of liberation across Latin America. In Buenos Aires, cowhides and horsehides and tallow were swapped for imported consumer goods, but most newly independent countries ran a steep trade deficit and paid the balance in silver or gold. The flow of precious metals excited British capitalists, enticing them to invest in silver mines in Mexico and Peru and gold mines in Colombia and Brazil. London bankers were eager to lend money to the governments of these apparently wealthy nations. Then, by the middle of the 1820s, the Latin American demand for imports dried up. Trade goods—wearing apparel, cloth, cutlery, china, clocks, watches, perfumes, beer, wine, spirits—piled up unsold in the warehouses of European and North American merchants in the ports of Latin America. Inventories were liquidated at ruinous prices, and many a merchant-adventurer returned penniless to London, Paris, or Boston. Panic gripped London's financial markets in 1825–26 as Latin America-related securities plunged, precipitating a general sell-off. In the late 1820s, as every Latin American government except Brazil's defaulted on its foreign debt, the bankers joined the merchants on the staggering casualty list of foreign capital's first incursions into independent Latin America. A few of the foreign mining ventures there ultimately paid off but at rates of return far inferior to what the investors could have earned elsewhere. By the end of the 1820s the financial centers of the world had virtually written off Latin America as a field for profitable investment; not until after midcentury could much foreign capital be lured back to the region.

Export production, where it existed in independent Latin America before 1850, was, with few exceptions (e.g., the Peruvian guano trade that got underway in the 1840s), both financed and managed by natives. Outside capital played a greater role in Cuba, and the island remained a political dependency of Spain,

but even there economic decision making was largely in the hands of local producers, especially after the Spanish liberal reforms of the 1830s. Indeed, to say that the Latin American countries were economic "dependencies" for whom the decisions that determined their development were made in some far-off "metropolis" is, at best, an exaggeration. Hundreds of thousands of decisions in Germany—to drink coffee and sweeten it with sugar—doubtlessly stimulated the production of those commodities in Brazil and Cuba. But the decisions to respond to this external demand were made in the producer countries; no one forced Brazilian and Cuban planters to produce coffee and sugar. Certainly Great Britain, the premier imperial power of the time, did not. If anything, the British seemed to do their best to ruin the planters of Brazil and Cuba by refusing to buy their products and by trying to cut off their supply of slave labor. The fact that Brazil and Cuba continued until after midcentury to import slaves from Africa in defiance of Great Britain indicates that Britain was far from omnipotent in Latin America. This was further demonstrated when Brazil rejected Britain's request for a renewal of the 1827 commercial treaty and instead raised its tariffs on British imports in 1844. Brazil was not alone in successfully resisting the might of the British Empire: the Argentine provinces, which produced something Britain actually wanted—hides—compelled the British Navy to withdraw from their waters and fire a salute to the Argentine flag in 1848.

For all its economic and naval power, Britain alone clearly was unable to keep Latin America in a state of dependency. Instead, the dependency thesis rests ultimately on the notion that Britain and other advanced capitalist nations worked in concert to maintain the Latin American economies as suppliers of bulk commodities in return for more complex industrial goods and thereby to prolong a situation of relative underdevelopment that in reality (though the fact is sometimes forgotten) antedated independence. Obviously, the means to achieve this result could be much more subtle than brute force and could have been employed almost unconsciously. It has been suggested, for example, that capital itself is somehow attached to a "core" geographical area, to which it is bound to return after forays into "peripheral" lands. The fact that money flows to areas of high productivity, many of

which happened to be located near the North Atlantic at the beginning of the nineteenth century, gives the idea a certain plausibility. However, the implication that capital would pass up opportunities for long-term profitable employment in the development of other parts of the world in order to return to the land of its birth—the North Atlantic community—is not supported by the historical record.

The power of attraction of North Atlantic ideas and ways of life for Latin American decision makers is perhaps a better explanation for what happened. The leaders of Latin American society genuinely wanted a closer association, economically and otherwise, with the British, French, and North Americans, and commodity exporting appeared to be the easiest way to bring this about, although it still was not necessarily easy. Latin America's particular economic relationship with the rest of the world thus received the knowing, even enthusiastic assent of most educated, well-to-do Latin Americans at the time of independence. Whether the relationship was wise or not is obviously a different matter, and, as later chapters of this book will suggest, there were both positive and negative effects on the development of individual countries.

In any case, the migration of capital and other forms of wealth is a constant of history, unaffected by sentiment and susceptible to no more than temporary deflection by political action. No geographical or cultural conspiracy determined the flow of money from the Mediterranean to the Baltic and North Atlantic or, more recently, to the North Pacific. In Latin America, capital inflow and accumulation in the first half of the nineteenth century were limited by low productivity. Blaming foreign imperialists for this state of "underdevelopment" is unproductive; reasons for it are to be found in the region itself, in its geography—in the placement of its natural resources and population—and, especially, in the institutions and habits left over from the colonial past.

Society and Economic Development

Spain's most productive colony at the end of the colonial period was Mexico, which in 1800 may have had a per capita income about half that of the United States. The cost of Mexico's member-

ship in the Spanish empire—taxes remitted to Madrid plus value lost through imperial trade restrictions—has been calculated at 7.2 percent of the colony's total output of goods and services at the beginning of the nineteenth century. A much greater burden, it would seem, was laid on colonial Mexico by geography: high mountain ranges and the absence of navigable rivers linking areas of production, domestic markets, and ocean ports greatly increased internal transportation costs, raising the labor input of goods consumed or exported and thereby lowering productivity. Without this geographical disadvantage and "all other things being equal," Mexico's productivity in 1800 should have been roughly equal to that of the United States. John H. Coatsworth speculates about what might have happened if Mexico had been endowed with a system of rivers like those along the eastern seaboard of the United States:

All other things were not, of course, equal. The viceregal government might well have decided to raise internal customs duties (*alcabalas*) to match reductions in transport costs. Or Madrid could have ordered the colonial government to deny licenses to entrepreneurs clamoring to take advantage of lowered transport costs and ready to invest in new productive enterprise. Or the crown could have decided to make transportation a royal monopoly (*estanco*, from which *estancar*, to stagnate) and control the supply of shipping and charge inflated rates. Or the Council of the Indies might have urged the king to protect the indigenous population by forbidding its employment in the production of goods sold in faraway places. Or, after multiple lawsuits lasting several decades, the Audiencia might have decided in favor of the petitions of muleteers, wagonmasters, and hotel keepers and ordered that all boats, rafts, and canoes in the colony had to be owned exclusively by former muleteers, wagonmasters, and hotel keepers who registered with the authorities and agreed to lend the king ten thousand pesos.²

Measures like these actually were adopted at various times during the colonial period in many parts of Spanish America and, to a lesser extent, in Portuguese Brazil. The institutional environment for entrepreneurial activity in most of colonial Latin America discouraged productivity gains. Although planters, mine operators, and other production managers in colonial Latin America were probably as capable, diligent, and enterprising as their

counterparts anywhere else in the world, as recent studies have indicated, they operated in a highly politicized environment in which their decisions, while economically rational, were necessarily shaped by nonmarket considerations.

Independence gave the Latin American countries direct access to world markets but did not radically alter the organization of their domestic economies. Madrid or Lisbon no longer could deny licenses to entrepreneurs eager to take advantage of new opportunities, but Mexico City, Lima, or Rio could and did. Some monopolies were suppressed, but others were maintained and some new ones created after independence. The Spanish Council of the Indies lost its authority to protect American Indians, but paternalism survived in the Roman Catholic church and in some postindependence governments. The colonial high courts disappeared, and many guilds—especially those controlled by Iberians—were suppressed, but special-interest pleading continued before new administrative or judicial bodies, often resulting in the reaffirmation of corporate privilege and the denial of benefits to the nation at large. Forced loans, bribes, and purchased "exceptions" to legislation were, if anything, more common after independence than before.

Latin Americans thus made selective use of liberal economic doctrine. They called for unrestricted international exchange of goods but did not abolish tariffs, and much less did they automatically accept or act upon Adam Smith's criticism of domestic monopolies, administered prices and wages, internal customs levies, land entailment and mortmain, and coercive labor systems. For some—those who generally wound up under the label "conservative"—the utility of economic liberalism ended with the elimination of Spanish or Portuguese intermediaries in the export-import business. To carry liberalism further would weaken the structure of Hispanic corporatist society, which to one degree or another conservatives typically wished to preserve. The survival of the traditional regime of corporate privilege required, among other things, the perpetuation of inalienable family, communal, and clerical landholdings; the guarantee of "fair" prices and "just" wages; and the means to compel labor when workers were disinclined to offer it at customary rates of compensation. As for internal customs collection, even liberals—

latter had declined during the late colonial period as employers increasingly resorted to other means of securing needed labor, such as debt peonage. Some even went so far as to offer acceptable wages; in Mexico, after all, the mining industry had long relied primarily on voluntary labor. However, though some of its legal forms were abolished, forced labor hardly disappeared in Latin America in the postindependence period; indeed, chattel slavery expanded in Brazil, as it did in the Spanish colony of Cuba at the same time. In places where slavery was proscribed, Latin American employers often found other ways, illegal and extralegal, to coerce workers. The important difference was that after the separation from Spain and Portugal the coercion was exclusively of domestic origin; it was not generated or directed from abroad.

The colonial system had lasted for three centuries because the people of Latin America generally accepted its corporatist organization and perceived as just the judicial system that was its arbiter. The officially chartered, self-regulated interest groups of the colonial era did not bargain among themselves in a market setting but argued their cases before royal judges, reasonably confident of a decision—though it might be years in coming—that would be fair and would preserve their traditional privileges. Those who proposed changes that might infringe on these privileges were likely to lose in the tribunals. Spanish American Indian communes were notably successful in protecting their lands from encroachments by outsiders in the late colonial period. However, even some of the Indians saw advantages in individual ownership of land, and, with the approval of royal judges, there was limited movement toward the distribution of communal holdings as private property before independence. The trend accelerated after independence as the right to hold private property was enshrined in the constitutions adopted by the new nations—which, however, did not deny the right of communal ownership. All parties continued to look to government to mediate the changes.

Most of the new governments—weak and unstable, shaken by civil strife—were not equal to the task. While property rights were theoretically guaranteed at the time of independence, another quarter-century would pass before even the most stable

who in most of the larger Latin American countries tended to be federalists—would recognize this as a convenient means of extracting funds for local or provincial governments, especially those they controlled. The same was true on the national level of theoretically indefensible institutions like the state tobacco monopoly, which was accepted as a sure source of revenue by liberal and conservative governments alike. Internal restraints on trade would not be easily removed in Latin America.

To be sure, movement toward a liberal economy was underway in some colonies before the independence struggle began. The city council of Buenos Aires rejected a step backward by refusing to charter a shoemakers' guild in the 1790s. Peripheral Buenos Aires, unlike the core viceregal centers of Spanish America, never experienced the monopolistic guild system. Also, with no silver mines and few settled Indians—except in Paraguay—the lowland provinces of the Río de la Plata were largely spared the forced labor drafts common in Peru and Mexico. Some work was done by slaves brought in from Africa, but soon after the break with Spain the Buenos Aires government took steps to end the system by outlawing the importation of Africans in 1812 and ordering the phased emancipation of children born to slave mothers after 1813. Similar measures were enacted in other Spanish American countries either during the war of independence or in the next decade, foreshadowing the elimination of black slavery in those republics by around midcentury.

In much of Spanish America, of course, the indigenous population had traditionally met most labor needs. Tied to their villages by inalienable rights to communal land, Indians under the colonial regime were subject to a special head tax, or tribute, which they were required to pay in cash to their Spanish overlords. When the requirement to earn tribute money did not produce the necessary laborers, Indians could be drafted for work on the roads, on plantations, and in the mines. With independence, the tribute and labor drafts were formally abolished in most of Spanish America. The legal basis of this coercion, the obligations of a conquered people, was destroyed with the colonial system. Spanish American conservatives generally agreed with their liberal compatriots—in principle, at least—on the desirability of eliminating Indian tribute and labor drafts. Actually, use of the

of nations enacted civil codes setting forth rules for the organization and utilization of private property. In the meantime, property managers had to contend with all the legal uncertainties of the old system plus the likely inability of the new courts to enforce any judgments they might render. With almost any productive change perceived as adversely affecting some corporate interest, entrepreneurs had to secure the favor—through reason, force, or bribery—not only of judges and bureaucrats but also of those who wielded the armed might essential for carrying out judicial and political decisions in societies where habits of obedience to civil authority had been severely undermined. Independence added new dimensions of corruption and coercion in most Latin American countries.

Latin America's financial infrastructure, sorely deficient as a support for enterprise during the colonial period, was little improved in the years after independence. There was no bank in all of Latin America before 1808; from then until midcentury no public institution that accepted deposits and made commercial loans had more than an ephemeral existence, except in Brazil and Cuba. Elsewhere in Latin America, producers were limited to traditional sources of financing: merchants, export-import brokers, guilds, and, especially, the Roman Catholic church and its affiliated organizations. The archbishop of Mexico was, in the words of one visitor from the United States in the 1840s, "the great loan and trust company of Mexico."³ The archdiocese had real estate and cash—accumulated over the years through donations from the crown and bequests from the faithful—available for lease on easy terms to favored individuals; money was lent at an annual interest of six and a half percent. Convents and monasteries also had property to lease and money to lend, not only in Mexico but in many parts of Latin America, including Brazil. And so did the tertiary orders of laypeople—*cofradías* in Spanish America, *irmandades* in Brazil—which were religiously oriented service clubs and mutual-aid societies, chartered by a diocese or a regular order of clergy, and sometimes associated with a particular craft or trade. The *cofradías*, like other branches of the church, accepted gifts but not deposits; decisions on loans were necessarily influenced by religious principles as well as the desire to promote the collective interests of the *cofradía* and the indi-

vidual welfare of the borrower. Indeed, religious perceptions of what was just and fair formed the ideological underpinning of traditional society.

Classes and Interest Groups

The society of colonial Latin America had not been a rigid class- or caste-based system, and neither was that of the independent nations. Birth was important but not solely determinant. Indians born to membership in a communal village might find their birthright more burdensome than advantageous and relinquish it by moving to an unincorporated settlement or to a town or city to work for wages. Similarly, offspring of white landowners with poor inheritance prospects often left the family hacienda or plantation to pursue opportunities elsewhere. Children of various economic and ethnic backgrounds wound up as apprentices in the craft guilds; a few would rise to the position of master. Black slaves remained slaves unless their owners freed them, which occasionally occurred. Blacks who mated with free Indians or poor whites contributed to the formation of a large Afro-Latin American floating population whose members could aspire to serve in the colonial militia or postindependence armies. Even the priesthood, at least on the lower levels, was open to minimally educated men of mixed blood in both Spanish and Portuguese America.

The patronage of relatives or family friends often was indispensable for advancement. Families tended to be broader and more complex than the Victorian nuclear-family ideal. Illegitimate children often lived in the same household with a father's legitimate offspring and sometimes were favored over them. A black slave woman might give birth to a mulatto son destined to receive a large landed estate or to enter one of the professions. In the absence of influential blood relatives, godparents—carefully chosen by a child's parents from a social stratum above theirs—might arrange remunerative employment for a boy or an advantageous marriage for a girl.

But even the godparent system—*compadrazgo*—and all the collective safeguards of Latin American society could not provide comprehensive insurance against catastrophe—against the

worst effects of fire, flood, drought, civil war, bad luck, or mismanagement. Cattle died or were stolen, crops failed, mortgages were foreclosed, and landed property changed hands. Some people lost assets, while others gained them. There was more mobility in Latin American society—in both directions—than commonly thought. Legal wives of large landowners could become the mothers of sharecroppers or subsistence farmers. For that matter, male dominance was also less than the conventional harping on Latin American "machismo" would suggest. Upper-class women far outranked lower-class men, and in some communities lower-class women were the normal heads of households. Women managed rural properties, and in urban areas they operated taverns, dry-goods stores, and other retail and service establishments. Even nuns, from behind their convent walls, dealt in real estate, traded slaves, and managed the production and sale of baked goods.

Although the spirit of enterprise was alive in traditional Latin American society, corporatist survivals limited the opportunities for productive investment, discouraged savings, and retarded the emergence of a capitalist "class." Enterprise was channeled repeatedly into unproductive activities: maneuvering to circumvent law and regulations, to preserve or expand group or personal privileges, and to contain or reduce those of others. It is difficult to apply class analysis to this process, which was essentially a struggle for individual advantage within a less than favorable environment. Noneconomic behavior aside, a rational individual may be expected to maximize his or her own utility, whether this means defending the interests of an industry, a trade or profession, a village, a region, a country, a family, a clan, or a class. The claims of the last do not necessarily override those of all the others.

If class is defined strictly in terms of an individual's relationship to the means of production, it cannot wholly explain the dynamics of traditional Latin American society. If class designations are applied to differentiate among categories of people who associate with one another for companionship on a basis of equality, the pattern will be shaped more by consumption than by production. In this case, it is the quantity and quality of the goods and services that a person consumes that largely determine

his or her class. Heredity can play a part, but a person born into an upper class who does not maintain a certain level of consumption runs the risk of descending into a lower one. And a person born to a lower class can consume his or her way into a higher one if by hard work, gift, or theft he or she acquires the means to do so. Above the slave and subsistence levels in Latin America, the decision whether to consume or to save was a personal one, to be freely taken. But in the absence of productive investment opportunities—which was usually the case—the rational choice was to consume. This model of class structure more closely reflects the reality of Latin American society and accounts for the mobility within it. That Latin Americans were oriented toward consumption was the result not of some ethnic character defect but of a lack of alternatives under Iberian colonialism—a deficiency that would persist long after independence.

There was a strong correlation between class and race in Latin America, with whites tending toward high consumption and blacks—most of whom were slaves—tending toward low consumption. Indians, whose opportunities were inferior to those of whites, tended toward the low end of the consumption scale, as did persons of mixed blood, who enjoyed few, if any, privileges based on race.* As noted above, legally sanctioned racial discrimination came to an end throughout Latin America with separation from Spain and Portugal. The important role played by mestizos in the wars for independence in Spanish America and sensitivity to the racial slurs that Portuguese colonialists had regularly applied to all Brazilians guaranteed the rejection of racism as official policy by the new nations. But discriminatory habits were not easily eradicated, and the correlations between rich and white and poor and nonwhite, though weakened, still held. Nevertheless, Latin America was a far more egalitarian place after independence than before. Indians and mestizos rose to positions of power all over Spanish America after independence. Some, like Rafael Carrera of Guatemala, favored preservation of the colonial corporatist structure, only without its racial bias; others, like Benito Juárez of Mexico, called for thoroughgoing liberal reforms to change that structure. Whites were found on both sides of the issue, as were rich people and poor people.

There is little justification for casting nineteenth-century Latin

American history as a struggle between the elites and the masses. While the latter are fairly easy to identify—those who consumed little or nothing beyond what was required for their own subsistence—it is not so easy to generalize about their class interests, which varied from time to time, from place to place, and within each region and period. The masses were composed of many interest groups. This is no less true of the elites, whom one historian has identified as those who “controlled the government institutions, as well as the commerce, banking, agriculture, and arts” of nineteenth-century Latin America.⁴ The definition is self-evidently correct but hardly enlightening: it obscures the varied origins of members of the elites, many of whom sprang from the masses. Aside from the mestizo generals and caudillos whose power and property were acquired through military service, the men of humble origins who gained prominence included civilian politicians like Juárez; some of Latin America’s most honored poets, writers, and composers; and Brazil’s preeminent financier at the middle of the nineteenth century, Baron Mauá. It makes little sense to say that these people were co-opted by the elites or were their representatives or puppets: they *were* the elites, by every imaginable criterion except birth. The concept of an elite as a single, dominant interest group—self-aware, self-perpetuating, somewhat conspiratorial, committed to incessant class struggle with the masses—is worse than useless. The term *elite* is itself a thin cloak for conceptual poverty; scholarship demands that it be discarded and replaced by more precise designations like “sugar planters,” “textile importers,” or “higher clergy.” The contest was not between the elites and the masses but among interest groups whose membership often cut across class lines.

4

Mexico in Decline (1821–1855)

Mexico at the time of independence was the most populous country of Latin America, with roughly seven million inhabitants as against Brazil’s four million. It was also the largest, at least in terms of land area effectively occupied by European colonizers and their descendants, for the uncharted portions of Brazil’s vast Amazon Basin amounted to many more square kilometers than the unsettled desert and mountain fringes of far northern Mexico, which at the time still included much of the later United States. But Mexico was also just plain unwieldy, and it became for a while the prime Latin American example of Murphy’s Law, to the effect that what can go wrong will go wrong. Certainly no other Latin American country had to grapple with so broad a range of critical difficulties, whether economic and social, political, or diplomatic. Only some time after Mexico had lost half its territory to its northern neighbor would these problems even begin to be brought under control.

Land and People in the Aftermath of Independence

In 1821, the year Mexico won its independence from Spain, the output of the Mexico City mint was less than six million pesos. In the year before the war for independence began, it had been more than twenty-six million pesos. Thus, there was a drastic drop in the manufacture of Mexico’s principal export, money.